14-2d Spilt Milk and Other Sunk Costs

At some point in your life you may have been told, "Don't cry over spilt milk," or "Let bygones be bygones." These adages hold a deep truth about rational decision making. Economists say that a cost is a
sunk cost (a cost that has already been committed and cannot be recovered) when it has already been committed and cannot be recovered. Because nothing can be done about sunk costs, you should ignore them when making decisions about various aspects of life, including business strategy.

Our analysis of the firm's shutdown decision is one example of the irrelevance of sunk costs. We assume that the firm cannot recover its fixed costs by temporarily stopping production. That is, regardless of the quantity of output supplied (even if it is zero), the firm still has to pay its fixed costs. As a result, the fixed costs are sunk in the short run, and the firm should ignore them when deciding how much to produce. The firm's short-run supply curve is the part of the marginal-cost curve that lies above average variable cost, and the size of the fixed cost does not matter for this supply decision.

The irrelevance of sunk costs is also important when making personal decisions. Imagine, for instance, that you place a $15 value on seeing a newly released movie. You buy a ticket for $10, but before entering the theater, you lose the ticket. Should you buy another ticket? Or should you now go home and refuse to pay a total of $20 to see the movie? The answer is that you should buy another ticket. The benefit of seeing the movie ($15) still exceeds the opportunity cost (the $10 for the second ticket). The $10 you paid for the lost ticket is a sunk cost. As with spilt milk, there is no point in crying about it.

Case Study:Near-Empty Restaurants and Off-Season Miniature Golf

Have you ever walked into a restaurant for lunch and found it almost empty? Why, you might have asked, does the restaurant even bother to stay open? It might seem that the revenue from so few customers could not possibly cover the cost of running the restaurant.

When deciding whether to open for lunch, a restaurant owner must keep in mind the distinction between fixed and variable costs. Many of a restaurant's costs—the rent, kitchen equipment, tables, plates, silverware, and so on—are fixed. Shutting down during lunch would not reduce these costs. In other words, these costs are sunk in the short run. When the owner is deciding whether to serve lunch, only the variable costs—the price of the additional food and the wages of the extra staff—are relevant. The owner shuts down the restaurant at lunchtime only if the revenue from the few lunchtime customers would fail to cover the restaurant's variable costs.

An operator of a miniature-golf course in a summer resort community faces a similar decision. Because revenue varies substantially from season to season, the firm must decide when to open and when to close. Once again, the fixed costs—the costs of buying the land and building the course—are irrelevant to this short-run decision. The miniature-golf course should open for business only during those times of year when its revenue exceeds its variable costs.

Staying open can be profitable, even with many tables empty.

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